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TWO WEEKS BEFORE the bitterly cold weekend in early 1985 when George Bush and I were inaugurated for our second term, Treasury Secretary Don Regan and Jim Baker came to me separately in the Oval Office with a proposal. It was Regan's idea. He said he was growing a little bored with his job as secretary of the treasury and had mentioned this to Jim Baker, who said he was getting tired of his job, after four years, as White House chief of staff. They told me they wanted to swap jobs. After I thought it over, I approved the switch, thinking the enthusiasm both would bring to their new jobs would be good for the administration.

Four days after the inauguration, Don brought me a proposal for making some changes in the White House administrative line of command that he said would streamline operations and simplify the organizational structure. I approved the plan, not realizing how much it would enlarge Regan's powers at the expense of others on the staff, restrict access to me, and lead to problems later on. We agreed that Jim Brady, a witty and courageous man who was still undergoing difficult therapy to overcome the effects of his shooting by John Hinckley, Jr., would keep the title of White House press secretary as long as I was living there.

Over lunch, Don asked me what my principal goals were for the second term. On the domestic front, I said, I wanted to continue our efforts to reduce federal spending and bring down the deficit, to implement tax reform, and to continue the modernization of our military forces; on the international front, my goals were to negotiate a solid arms reduction agreement with the Soviets, to improve relations with our